

1 The Climate Cost of Crowding: A Decomposition 2 of Demography's Role in Gloabl GHG Emissions

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6 **Abstract**

7 Across the entire modern history, the global population has experienced
8 significant changes, which influence sustainability substantially. Hence,
9 achieving empirical clarity of the dominant factors in population change
10 can offer humankind more precise and more efficient solutions for global
11 green transition. Based on the STIRPAT model, and a transnational panel
12 data from 1971 to 2023 covering 196 countries, this research decomposes
13 complex demographic changes into three categories: scale, structure, and
14 distribution, and examined their impact on global GHG emission. The re-
15 sults reveals that: (1) modern demographic changes increase global GHG
16 emission; (2) instead of scale or age structure, spatial distribution is the
17 most influencial factor of GHG; (3) urban constrcution and renewal, pollu-
18 tion tranfer, public service provision and digitalization mediate this effect
19 differently; (4) heterogeneity exists in terms of aging phases, affluence and
20 gender equality. After analytical discussions, we established a theoretical
21 linkage between economic inclusiveness and sustainability. This research
22 provides several insights for reference: in the domestic perspective, amend-
23 ing and strengthening rural and suburban areas benefits green transition,

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correcting excessive regional imbalance is essential to achieve sustainable development; in the international perspective, a stronger North-South coordinating mechanism including environment transfer payment and green technology sharing is helpful in achieving the SDGs.

Keywords: sustainability, population growth, population aging, urbanization, inclusiveness

1 Introduction

Look at what we have done: heatwaves, droughts, floods, wild fires and storms..... there are 467 pathways by which human society has been recently impacted by climate hazards caused by GHG emissions(Mora et al., 2018). The population exposed to extreme heat by the end of the century will be 4 to 8 times larger than in the 2010s(Wang et al., 2020). The dominant economic trajectory of modern history has been the global expansion of the industrialism development model. While this process has generated unprecedented material prosperity, it has also led to a substantial increase in greenhouse gas (GHG) emissions and other pollutants, as shown in Figure 1. The industrialization of the global economy has significantly contributed to global warming, sharply increasing the frequency of extreme weather events. These changes have accelerated biodiversity loss, caused severe economic damage, reduced habitable land area, and triggered localized food crises with global risk, directly threatening human life(Elahi et al., 2022). Meanwhile, the accompanying large-scale pollution has led to ecological degradation, chronic poisoning, and widespread sub-health issues. From the perspective of Buckley (1967)'s social systems theory, the structural deterioration of the environment disrupts the system's ability to process external information and energy, thereby significantly increasing economic uncertainty and the likelihood of political instability. Consequently, the need for effective global climate governance has become increasingly urgent.

But how did we bring this about? Population is always the driving force be-

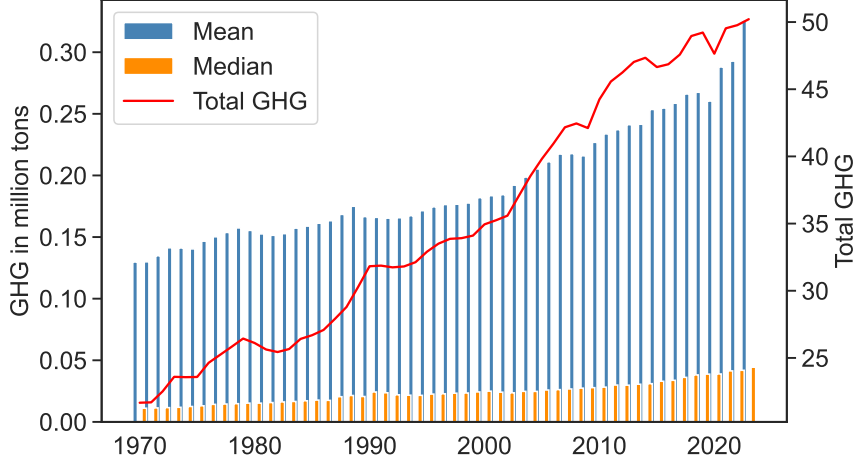


Figure 1: Global GHG emission

hind the scenes. As shown in Figure 2, modern population changes are marked by pronounced multidimensionality and imbalance. Over the past 50 years, the world’s population has nearly doubled(2a). More people means higher demand, then larger-scale industrial production became necessary. Improvements in living conditions and medical care have also led to an increase in the world’s median age(2c). Longer life spans naturally expand the overall market’s energy demand. As more people enter working age(2d), traditional sectors cannot provide sufficient job opportunities, forcing our economies to rely increasingly on the expansion of the industrial sector to create employment. Urbanization rates are also rising(2f), meaning that the energy-intensive population is expanding. As people continue to migrate to urban areas(2e), this in itself drives further industrial expansion, increased infrastructure development, and higher energy consumption. In summary, modern population changes are driving a significant increase in GHG emissions overall. According to the classical IPAT framework in environmental economics, the two traditional drivers of climate governance—economic growth and technological advancement—are facing fundamental challenges. In recent years, global economic growth has been sluggish, and the expansion of consumption exhibits ambiguous net effects on GHG emissions. On the technological front, most countries are experiencing stagnation in research and development. Rising uncertainty has constrained investments in innovation and hindered knowledge sharing. The

72 overall pace of scientific and technological progress is slowing, while the “digital
 73 paradox” raises doubts about the effectiveness of digital technologies in reducing
 74 emissions. Against this backdrop, the residential sector contributes 27% of global
 75 energy consumption and 17% CO₂ emissions(Nejat et al., 2015), revisiting the
 76 long-underestimated role of population dynamics may offer a new breakthrough
 77 for climate policy.

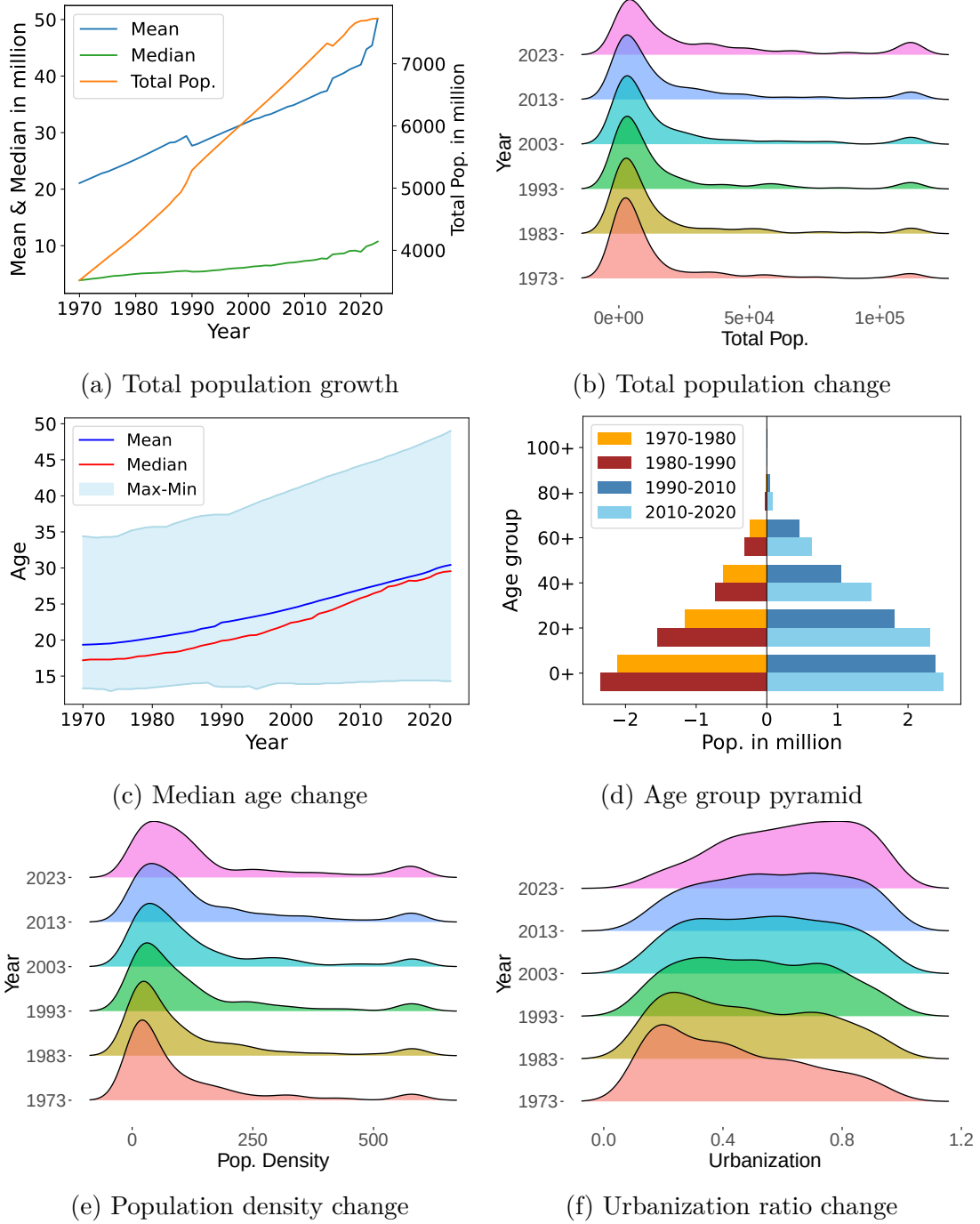


Figure 2: Modern demographic changes

78 The OECD economies in Europe may serve as an insightful case, as they have
 79 simultaneously experienced population decline, aging, deurbanization, and signif-
 80 icant reductions in GHG emissions. By the 21st century, 36% of remote areas
 81 and 13% of large cities within OECD had experienced population decline(OECD,
 82 2023). Among European member states, Italy, Portugal, Finland, and Greece
 83 have the biggest elderly populations, at approximately 23%-24%. By 2026, the
 84 proportion of the 65+ population in Lithuania and Greece is projected to reach
 85 around 35%(OECD, 2025). Decline in the labor force has forced these developed
 86 countries to relocate their industrial sectors. Aging reduces individual energy con-
 87 sumption, and the exodus of people from metropolitans saves energy consumption
 88 in other aspects of urban life at the cost of increased transportation sector emis-
 89 sions. Additionally, once industrial upgrading is complete, a shrinking and aging
 90 population may help expand income shares to enhance economic welfare, thereby
 91 creating conditions for clean energy substitution and green technology innovation
 92 in these developed economies. Ultimately, the OECD-European economies have
 93 achieved significant success in reducing GHG emissions, as shown in Figure 3.
 94 This case study serves as a reminder to pay attention to the dynamic interaction
 95 between demographic characteristics and environmental impacts.

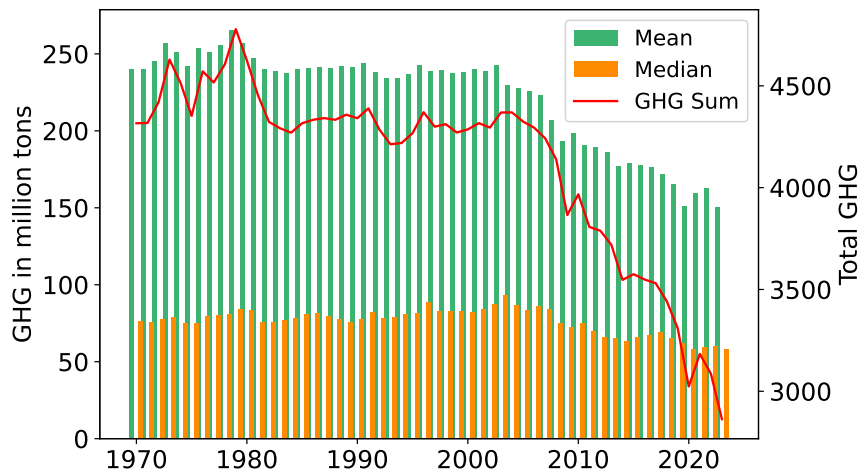


Figure 3: OECD-Europe GHG emission

96 Knowledge about the complex impact of comprehensive modern demographic
 97 changes on global GHG emissions is still ambiguous. Phenomena such as popula-

tion decline and aging are primarily localized in a few advanced economies, with no clear global trend, and their impacts on industrial production are complex and bidirectional. Current research still lacks a systematic understanding of these mechanisms. Furthermore, in practice, limited policy resources constrain most governments, making it difficult to intervene evenly across all influencing factors. Identifying population factors with both significant impacts on GHG emissions and strong policy operability is crucial for designing effective population policies. Moreover, conventional policy tools have yet to produce effective responses to population decline and aging, highlighting the urgency of exploring alternative structural demographic variables and their policy transmission channels.

This research is aimed at estimating the systematic impact and multidimensional mechanisms of modern population changes on global GHG emissions, and identifying the most influential demographic factor on GHG. Based on an international data set covering 196 economies across 1971 to 2023, this paper constructs an expanded STIRPAT model with more complex population factors including scale, age structure and spatial distribution. A series of mutually complementary effect decomposing methods are adopted to acquire relative importance under different focus and perspectives, including Shapley value, Forecast Error Variance Decompose (FEVD) and Random Forest variable importance ranking. Adequate robustness tests are conducted to ensure the credibility of estimations. We use the Structural Equations Model (SEM) with both the [Iacobucci et al. \(2007\)](#) improved Baron-Kenny method(I-BK) and the ZLC([Zhao et al., 2010](#)) mediation test to identify the acting mechanisms, and grouped regressions with Fisher cross-group difference test for heterogeneity. Lastly, we discuss the joint significance of variables, and the role of economic inclusiveness in the green transition. Several insightful discoveries are acquired via these works. The analytical framework of this study is shown in Figure 4.

This paper finds that modern demographic changes have increased the overall GHG emission. Among three interested factors, population density—a long-

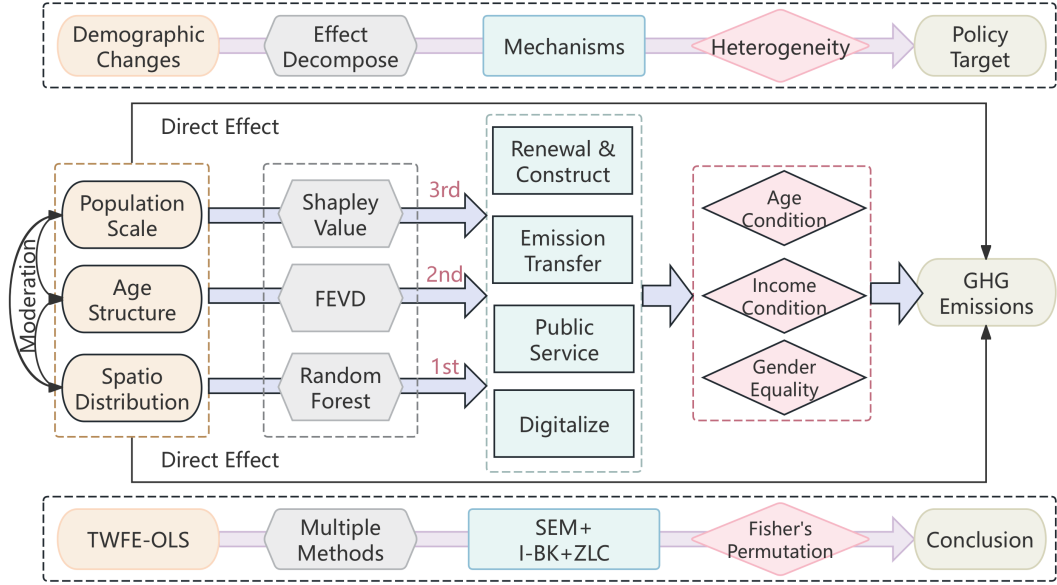


Figure 4: Analytical framework

neglected factor—shows the highest explanatory power for both the static differences and dynamic variation in global GHG emissions. Each demographic factor has different acting mechanisms. Figure 5 displays detailed logical directed acyclic graphs (DAGs) of the causality in this research. The arcs in the DAGs represent moderation effect, red arrows are direct effects, solid arrows mean positive effect, while dash arrows stand for negative effect. We can see that population growth contributes to a more attractive FDI host market, demands for more public service provision, and facilitates digitalization. Fixed assets investment in urban construction and infrastructure renewal produces emissions, net inflow FDI contains inevitable pollution transfer. On the contrary, public service provision mitigates GHG emissions by replacing individual energy consumption with public goods and service, digitalization also promote emission mitigation via multiple ways. Similar effects are observed in population aging and agglomeration. Complex heterogeneity was detected, the effect of age structure changes is more significant in older, wealthier and genderly equal economies, while the effect of distribution changes is more significant in less wealthy and genderly unequal economies.

We endeavor to provide the following possible contributions. First, this study

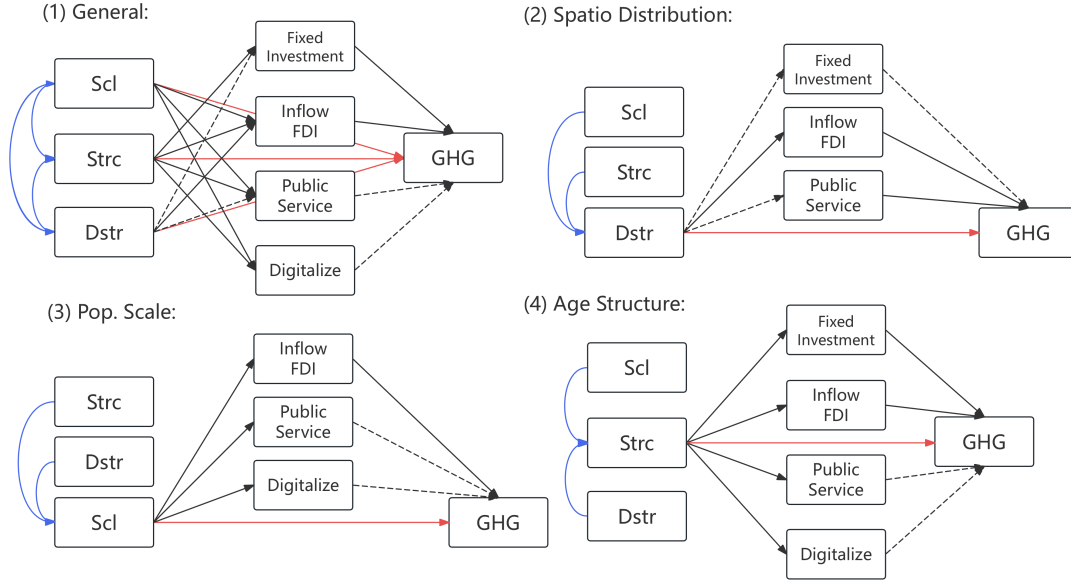


Figure 5: DAGs of the logic chain

144 supplements the existing researches about the nexus between demographic factors
 145 and environment impacts with long-term international evidence. Second, via mul-
 146 tiple decomposition methods, we offer a relatively reliable conclusion supporting
 147 that spatial agglomeration in metropolitans is the most important one. Third,
 148 a complex mechanism paradigm is discovered, offering a theoretically grounded
 149 and policy-relevant foundation to achieve harmonious coexistence between humans
 150 and nature. The remaining sections are arranged as follows: Section 2 presents
 151 a brief but detailed review of related literature. Section 3 shows the theoretical
 152 analysis and research hypotheses. Section 4 describes the research design, vari-
 153 ables, and models. Section 5 presents and analysis the results of the empirical
 154 tests. After a discussion in Sector 6, Section 7 provides conclusion-based policy
 155 recommendations and prospects.

156 2 Literature review

157 2.1 Population growth and GHG

158 As the most fundamental unit of energy consumption, population growth seems in-
159 tuitively correlated with increased energy consumption and, consequently, higher
160 GHG emissions, a relationship that is relatively straightforward to verify ([Maga-](#)
161 [zzino et al., 2024](#); [Khan et al., 2021](#); [Pan et al., 2021](#)). However, deeper research
162 reveals more nuanced details. Firstly, a slowdown in population growth rate pri-
163 marily manifests as a shrinking in household size, which actually increases residen-
164 tial energy consumption, thereby boosting total GHG emissions ([Zhu and Peng,](#)
165 [2012](#)). Secondly, the impact of population size change on GHG emissions may de-
166 pend not only on the magnitude of change but also on the pre-existing population
167 base ([Ribeiro et al., 2019](#)). Additionally, imbalances in population scale and di-
168 etary structures lead to disparities in land-use GHG emissions ([Hong et al., 2021](#)),
169 and there exists a conflict between food production and environmental protection
170 ([Hasegawa et al., 2018](#)).

171 In summary, the positive impact of population growth on GHG emissions is
172 essentially an academic consensus. Moreover, population growth also indirectly
173 increases GHGs and constrains emission reductions through mechanisms like the
174 food crisis.

175 2.2 Population age structure and GHG

176 The impact of population ageing on GHG emissions currently appears inconclu-
177 sive. Research from the demand side finds that older populations may have higher
178 consumption propensities and, due to needs like heating for health and comfort,
179 exhibit higher energy consumption. In the US and Australia, the per capita car-
180 bon footprint of the elderly is even twice the Western countries average ([Zheng](#)
181 [et al., 2022](#)), significantly increasing GHG emissions. This effect exhibits regional
182 heterogeneity, being insignificant in rural areas ([Fan et al., 2021](#)). Empirical ev-

183 idence from China shows that changes in age structure contributed to 2.468% of
184 the increment in carbon dioxide emissions (Pan et al., 2021); newer empirical ev-
185 idence from Russia indicates that increase in the population aged 65 and above
186 negatively affects environmental development in Russia (Ntom Udemba et al.,
187 2024), supporting this viewpoint.

188 Research from the supply side argues that population ageing can reduce em-
189 ployment rates and labor productivity, thereby creating concomitant emission re-
190 ductions due to slowed economic production (Maestas et al., 2023; Zhu and Peng,
191 2012). A healthier mechanism is that labor pressure caused by ageing may force
192 enterprises to innovate their corporate governance, facilitating green innovation
193 (Sheng et al., 2024) and providing impetus for emission reduction and long-term
194 green growth. Furthermore, population ageing exhibits a threshold effect; after
195 crossing the threshold value, it likely helps decouple economic growth from carbon
196 emissions and energy consumption from carbon emissions.

197 It is evident that population ageing may have multi-dimensional and dialectical
198 effects on GHGs, spanning both short and long terms. Despite the richness in
199 detail, the average treatment effect of population ageing on the economy-wide
200 GHG emissions has not been fully estimated.

201 **2.3 Population spatial distribution and GHG**

202 Cities generate three-quarters of global GHGs (Mi et al., 2019), such effect stems
203 partly from the agglomeration of population in cities and partly from the lifestyle
204 in cities.

205 People dwell densely in cities, giving cities much higher population density. A
206 study based on Asian populous countries shows that population density leads to
207 deteriorating environmental quality (Rahman, 2017). A more detailed study on
208 Bangladesh indicates that population density and urbanization exacerbate carbon
209 reduction pressure (Rahman and Alam, 2021). Within cities, ground hardening
210 and prior localized emissions create the urban heat island effect (Huang et al.,

211 2019), significantly amplifying energy consumption, particularly for cooling, lead-
212 ing to higher GHG emissions. From a dynamic perspective, one study categorized
213 urban expansion into edge expansion and outlying expansion, finding that edge
214 expansion significantly increases pressure on energy consumption (He et al., 2018).

215 Urbanization signifies a more modernized and industrialized lifestyle. Recent
216 research by Lyubich (2025) published in the *American Economic Review* found
217 that the place of residence contributes up to 23% to the heterogeneity in individ-
218 ual carbon emission behavior. Merely moving from a "low-emission neighborhood"
219 to a "high-emission neighborhood" can increase a resident's carbon emissions from
220 energy and commuting by up to 40%. Relocation from rural to urban areas typ-
221 ically accompanies changes in employment structure, while changes in industrial
222 structure and transportation demands jointly transmit the increasing pressure of
223 rising urban population density on GHG emissions (Yi et al., 2022). Changes in
224 employment structure transmitted 1.28% of China's carbon emission increment
225 (Pan et al., 2021). At least in China, urbanization implies a reduction in house-
226 hold size, represented by the fragmentation of larger families, which increases GHG
227 emissions by boosting household energy consumption (Zhu and Peng, 2012).

228 Evidently, assuming consistent economic levels, increases in population density
229 and urbanization are two sides of one coin, exerting pressure on GHG emissions
230 through intricate details.

231 2.4 Literature synthesis and research gap

232 Existing literature has provided a thorough understanding of the impact of three
233 major demographic factors — population size, age structure, and spatial distribu-
234 tion — on GHG emissions. Population growth often directly leads to an increase
235 in total GHG emissions and simultaneously influences multiple factors affecting
236 energy consumption and emissions, creating a complex mechanism of action. Pop-
237 ulation aging, on the one hand, increases the proportion of high-energy-consuming
238 populations, while on the other hand, it reduces total emissions by lowering labor

239 participation rates and productivity. The overall effect of these factors remains
240 unclear. Urbanization and increased population density are often accompanied by
241 higher GHG emissions due to energy-intensive lifestyles and more industrialized
242 employment structures.

243 There are still areas for improvement in the current body of knowledge. First,
244 the majority of literature focuses on the impact of individual demographic factors
245 on GHG emissions, with limited research comprehensively assessing the combined
246 effects of complex demographic changes on GHG emissions. Second, many studies
247 use single-country data with unit root tests and Granger causality analysis, or
248 analyze data at the provincial or municipal level within a country. Given the sig-
249 nificant differences in population dynamics and GHG situations across countries,
250 the findings from these studies may not effectively assess the dynamic impact of
251 modern population changes on global GHG emissions, necessitating supplemen-
252 tary cross-country panel regression analysis. Finally, due to the narrow scope
253 of domestic data and the monotonously use of simplified decomposition methods,
254 such as the logarithmic mean Divisia index (LMDI)([Alajmi, 2021](#)), the few studies
255 that have addressed effect decomposition have not reached consistent conclusions.

256 Given the limitations of the existing literature, this study simultaneously con-
257 sider the most representative population characteristics in terms of scale, age
258 structure, and spatial distribution to examine the impact of composite population
259 changes on global GHG emissions. It analyzes data from 196 countries spanning
260 50 years from 1971 to 2023 and employs multiple complementary effect decompo-
261 sition methods for estimation.

262 **3 Theoretical analysis**

263 **3.1 Direct effect**

264 The IPAT and its derivative STIRPAT models are distilled from a large body of
265 important research on climate impacts from the early 21st century([York et al.](#),

266 2003), they affirm the influence of demographic factors, particularly population
 267 size, on climate impacts. Population growth implies higher energy consumption
 268 from both the demand and supply sides, thereby leading to higher GHG emis-
 269 sions(Magazzino et al., 2024). As an increasing proportion of the world’s popu-
 270 lation enters working age, the size of the labor force is directly correlated with
 271 industrial scale(Maestas et al., 2023). The entry and exit of populations into and
 272 out of working age thus exert synchronous effects on industrial GHG emissions.
 273 Population aging reduces industrial GHG output by lowering labor participation
 274 rates, but the elderly population has a higher tendency toward energy consump-
 275 tion(Zheng et al., 2022). Considering that aging primarily occurs in developed
 276 economies, whose industrial structures do not heavily rely on manufacturing, the
 277 consumption growth effect of aging outweighs the labor reduction effect, thereby
 278 expanding GHG emissions overall. The increase in global average population den-
 279 sity in modern history has primarily occurred in urban areas. This process is
 280 always accompanied by a reduction in household size, improved living standards,
 281 and changes in energy consumption habits(Rahman and Alam, 2021). The indus-
 282 trialization of urban population has significantly increased global GHG emissions
 283 by expanding the total energy consumption. Generally speaking, modern popu-
 284 lation change characterized by high growth rate, larger working population and
 285 urbanization increases global GHG emissions. Research hypotheses are proposed
 286 below.

287 **H1.** Modern population changes increase GHG emissions.

288 **H1a.** Ceteris paribus, population growth causes GHG emission increasement.

289 **H1b.** Ceteris paribus, working population ratio is positively correlated with
 290 GHG emissions.

291 **H1c.** Ceteris paribus, high density population agglomeration correlates with
 292 high emissions.

293 3.2 Mediating effect

294 3.2.1 Urbanization, fixed assets investment and GHG

295 Housing quality constitutes a crucial mediating factor in energy poverty alleviat-
296 ing and subjective well-being enhancement (Nie et al., 2021). This suggests that
297 urbanization invariably demands greater construction land and more comfortable
298 housing, an effect amplified by urban population growth and rising population
299 density. Especially in resource-based cities, the interaction between urban pop-
300 ulation growth and fixed asset investment has significantly driven the expansion
301 of construction land in these cities (Li et al., 2022). Both urbanization and aging
302 also heighten the demand for urban public infrastructure. An increase in the ur-
303 ban elderly population underscores the importance of accessible facilities, nursing
304 homes, hospitals, parks, etc., and boosts the demand for public transportation
305 (Zhang and Xu, 2022). This entails substantial fixed asset investment, primar-
306 ily in new construction and renovation/retrofitting, whether from governmental
307 or private sectors. The construction industry is a major emitter of atmospheric
308 particulate matter and GHGs, and its upstream and downstream industries –
309 including mining, mineral processing, manufacturing, and transportation – also
310 generate significant GHG emissions. Empirical studies have confirmed a nega-
311 tive correlation between real estate investment and air quality (Chen and Lee,
312 2020). Therefore, the agglomeration of population in urban areas and the rising
313 proportion of the elderly population may lead to higher local GHG emissions by
314 stimulating fixed asset investment in public infrastructure.

315 **Hypothesis 2.** Modern demographic changes influence domestic GHG emis-
316 sions by reshaping the structure and scale of fixed asset investment.

317 3.2.2 Labor, FDI inflow and GHG

318 Population is the most fundamental component of the consumer market. An
319 increase in the scale of population with purchasing power may enhance the at-
320 tractiveness of FDI and promote OFDI through stronger economic growth rates.

321 In this dynamic, manufacturing FDI may become a vehicle for transnational pol-
 322 lution transfer, i.e., the “pollution haven” hypothesis. Many studies focusing on
 323 developing economies have found that FDI flowing into Latin America has led
 324 to an increase in host country pollution levels(Sapkota and Bastola, 2017). For
 325 representative developing countries in other continents (Mexico, Indonesia, Nige-
 326 ria, Turkey), FDI exhibits an inverted U-shaped relationship with ecological foot-
 327 prints(Balsalobre-Lorente et al., 2019). Additionally, FDI flowing into China has
 328 been shown to facilitate its urbanization(Wu and Chen, 2016), thereby generating
 329 more GHG emissions from urban construction and daily life.

330 FDI also has a dialectical impact on GHG emissions. High-quality FDI can mit-
 331 igate pollution transfer by exporting technology(Ntom Udemba et al., 2024), and
 332 capital-exporting countries often have more advanced environmental protection
 333 concepts, which can help host countries achieve environmentally friendly devel-
 334 opment through foreign investment(Zhang and Zhou, 2016). The impact of FDI
 335 on GHG emissions may also be influenced by heterogeneity of economic stages. A
 336 study based on quantile regression indicates that FDI at higher quantiles helps re-
 337 duce carbon emissions(Zhu et al., 2016). However, given that green industries and
 338 environment friendly development remain rare in developing countries, and the
 339 majority of international investment still focuses on low-end manufacturing, the
 340 overall impact of FDI on GHG emissions is more likely to be positively correlated.

341 **Hypothesis 3.** Modern demographic changes affect GHG emissions through
 342 their impact on the composition of FDI.

343 3.2.3 Public service provision, government expenditure and GHG

344 The increase in population size, urban population density, and the number of
 345 school-age and elderly residents all necessitate more adequate, comprehensive, and
 346 accessible public service provision. When population inflows occur, the develop-
 347 ment of social infrastructure becomes a decisive factor in urban vitality(Lan et al.,
 348 2020), and the demand for public services in areas such as education, healthcare,

elderly care, and public transportation will continue to grow alongside population growth, aging, and urbanization(Zhang and Xu, 2022). Additionally, labor concentration and maturation in cities imply more complex urban economic activities and higher network centrality, necessitating increased government investment to improve market mechanisms and provide positive externalities. On the other hand, the scale effect of population agglomeration might lower the marginal cost of public service provision, therefore save government expenditure.

New structural economics argues that the role of a rational government should be to improve and supplement the market system, providing subsidies and coordination for positive externalities and public goods (such as industry experience, R&D trial and error, and social responsibility) that cannot be formed due to the private sector’s inability to bear the costs, thereby enhancing the overall efficiency of the economy(Lin, 2011). Although governance costs and government financial activities also generate certain carbon dioxide emissions(Le and Ozturk, 2020), government spending focused on public goods supply and systematically considering and absorbing externalities costs makes the same project investments “greener” compared to the private sector. Additionally, by improving overall economic efficiency, carbon intensity is reduced, thereby decreasing total GHG emissions.

Hypothesis 4. Modern demographic changes promote the enhancement of governmental governance capacity, thereby strengthening the regulation and control of GHG emissions.

3.2.4 Access, digitalization and GHG

The widespread adoption of digital technology is closely tied to demographic characteristics. In terms of hardware, the construction of digital infrastructure such as signal towers, communication base stations, and fiber-optic cables involves high upfront fixed costs but low marginal costs, meaning that cost-sharing and return on investment are only achievable in areas with high user density. In terms of applications, small businesses face low economies of scale when incurring costs for

digitalization, and population dispersion and low accessibility lead to inefficient e-commerce delivery. Therefore, population growth and urban agglomeration can provide a favorable environment for digital development. At the same time, the elderly population generally has lower digital skills and weaker willingness and ability to use digital technologies, which may delay the widespread adoption of digitalization.

The role of digitalization in green transformation and sustainable development has been well-established. The improvement of digital infrastructure can promote carbon neutrality by enhancing carbon emission efficiency, innovation in carbon-intensive industries, and carbon-neutral technology innovation(Zhou et al., 2024). Meanwhile, digital applications such as FinTech can promote innovation in carbon-intensive industries(Zhou et al., 2025), thereby fostering growth of green economy(Awais et al., 2023). Mobile money is also effective in enhancing financial accessibility to improve residential welfare(Munyegera and Matsumoto, 2016). Furthermore, the green effect of digitalization demonstrates significant spatial spillover effects(Ren et al., 2023).

Hypothesis 5. Modern demographic changes facilitate digitalization, which helps optimize economic processes and reduce the GHG intensity.

4 Research design

4.1 Model construction

4.1.1 Baseline model

The IPAT model offers a powerful framework for analyzing ecological change and its driving factors. It decomposes environmental impact into three key socioeconomic determinants: population characteristics, affluence, and technology, thereby establishing a foundation for examining the link between demographic variables and environmental change. Building upon the traditional IPAT framework, the STIRPAT model introduces a stochastic term to account for unobserved

404 factors and measurement errors, and it allows for variable elasticities, providing
 405 greater flexibility in fitting empirical data. Based on the log-linear STIRPAT
 406 model discussed before, this study decomposes the population factor (P) into three
 407 characteristic variables: absolute scale, age structure, and spatial distribution. In
 408 Equation (1), A_{it} , T_{it} , and $\mathbf{X}_{it}$ represent affluence, technology, and other factors,
 409 respectively, all included as control variables. To account for country-specific
 410 characteristics and temporal dynamics, a two-way fixed effects panel model is
 411 employed.

$$\begin{aligned} \ln GHG_{it} = & \alpha_0 + \beta_1 \ln Scl_{it} + \beta_2 \ln Strc_{it} + \beta_3 \ln Dstr_{it} \\ & + \gamma_1 \ln A_{it} + \gamma_2 \ln T_{it} + \boldsymbol{\gamma}' \mathbf{X}_{it} + \lambda_i + \delta_t + \varepsilon_{it} \end{aligned} \quad (1)$$

412 In Equation (1), β_1 , β_2 , and β_3 are three coefficients of interest. Their statistical
 413 significance indicates the correlation between different population characteristics
 414 and GHG emissions. Moreover, as standardized coefficients are used in this study,
 415 their relative magnitudes reflect, to some extent, the relative importance of each
 416 component within P . λ_i denotes individual fixed effects, δ_t represents time fixed
 417 effects, and ε_{it} is the random error term.

418 4.1.2 FEVD model

419 Given that the baseline regression model and linear decomposition methods are
 420 sensitive to linearity assumptions, this study further employs the FEVD method
 421 based on a vector auto-regression (VAR) model to obtain more robust effect de-
 422 composition. The VAR model does not rely on predefined causal directions, al-
 423 lows for high-dimensional interactions among variables, and its multi-period auto-
 424 regressive structure better captures the dynamic explanatory power of independent
 425 variables on the dependent variable. Following the approach of [Lyubich \(2025\)](#),

the variance decomposition model is specified as shown in Equation (2).

$$\begin{aligned}
Var(GHG_{it}) = & Var(Scl_{it}\beta_1) + Var(Strc_{it}\beta_2) + Var(Dstr_{it}\beta_3) + Var(X_{it}\beta_4) \\
& + 2Cov(Scl_{it}\beta_1, Strc_{it}\beta_2) + 2Cov(Scl_{it}\beta_1, Dstr_{it}\beta_3) \\
& + 2Cov(Strc_{it}\beta_2, Dstr_{it}\beta_3) \\
& + 2Cov(Scl_{it}\beta_1, X_{it}\beta_4) + 2Cov(Strc_{it}\beta_2, X_{it}\beta_4) \\
& + 2Cov(Dstr_{it}\beta_3, X_{it}\beta_4) + Var(\varepsilon_{it})
\end{aligned} \tag{2}$$

4.1.3 Mechanism SEM model

Traditional mediation models based on linear regression are prone to collinearity and endogeneity issues, after a bulk of Monte Carlo simulations, Iacobucci et al. (2007) confirmed that structural equation modeling (SEM) is a more appropriate approach for examining complex pathways (Fan et al., 2016). Therefore, this paper combines the SEM with the improved Iacobucci-Baron Kenny mediation test to simultaneously examine the factor loadings and indirect effects of the four channels and calculates the proportion of indirect effects in the total effect. We also adopt the ZLC method developed by Zhao et al. (2010) to identify the mediation type.

$$\begin{cases} Mediator_{it}^n = \gamma_0 + \gamma_1 \ln P_{it} + \gamma_2 \ln A_{it} + \gamma_3 \ln T_{it} + \gamma' \mathbf{X}_{it} + \zeta_{it}^1 \\ \ln GHG_{it} = \beta_0 + \beta_1 Mediator_{it}^n + \beta_2 \ln P_{it} + \beta_3 \ln A_{it} + \beta_4 \ln T_{it} + \gamma'' \mathbf{X}_{it} + \zeta_{it}^2 \end{cases} \tag{3}$$

In Equation (3), four mediators are estimated separately, P_{it} denotes the three population variables, their coefficients γ_1 and the mediators' coefficients β_1 are estimated simultaneously to tell whether the mediation effect exists.

4.1.4 Mutual mediation SEM model

Since three independent variables are included simultaneously, their mutual interaction should receive investigation. Severe collinearity could occur when one of the variables is partly determined by another. Also, the effect decomposition

443 result would be less reliable if joint effect is neglected. Given significant causal-
 444 ity is essential in mediation effect, this paper adopts a mediation SEM similar to
 445 the mechanism model to detect wheter there's causality problem in the baseline
 446 model. In Equation (4), each demographic variables are taken as a mediator of
 447 the other two, if the path load coefficients γ and effect coefficients β are both
 448 insignificant, then there's no worry about mutual mediation.

$$\left\{ \begin{array}{l} Scl_{it} = \alpha_1 + \gamma_1 Strc_{it} + \gamma_2 Dstr_{it} + \gamma^1 \mathbf{X}_{it} + \zeta_{it}^1 \\ Strc_{it} = \alpha_2 + \gamma_3 Scl_{it} + \gamma_4 Dstr_{it} + \gamma^2 \mathbf{X}_{it} + \zeta_{it}^2 \\ Dstr_{it} = \alpha_3 + \gamma_5 Scl_{it} + \gamma_6 Strc_{it} + \gamma^3 \mathbf{X}_{it} + \zeta_{it}^3 \\ GHG_{it} = \alpha_0 + \beta_1 Scl_{it} + \beta_2 Strc_{it} + \beta_3 Dstr_{it} + \gamma^0 \mathbf{X}_{it} + \zeta_{it}^0 \end{array} \right. \quad (4)$$

449 4.1.5 Dynamic auto-correlation model

450 GHG emissions of an economies is related with its industrial structure and energy
 451 mix, which is rather stable over short periods. This means that GHG of the present
 452 period is very likely to be affected by GHG from the previous periods. Thus,
 453 this paper adopts a dynamic auto-correlation model to ensure such phenomenon
 454 doesn't cause severe causal inference mistakes.

$$\begin{aligned} \ln GHG_{it} = & \alpha_0 + \alpha_1 \ln GHG_{i,t-1} + \beta_1 \ln Scl_{it} + \beta_2 \ln Strc_{it} + \beta_3 \ln Dstr_{it} \\ & + \gamma_1 \ln A_{it} + \gamma_2 \ln T_{it} + \gamma' \mathbf{X}_{it} + \lambda_i + \delta_t + \varepsilon_{it} \end{aligned} \quad (5)$$

455 4.2 Variable definitions and data sources

456 As the dependent variable of this study, GHG emissions are measured in terms of
 457 the carbon dioxide equivalent of various greenhouse gases([European Commission.](#)
 458 [Joint Research Centre. and IEA., 2024](#)). Among the three population character-
 459 istic variables, the population growth rate is used to capture the dynamic change
 460 in population scale and its relationship with GHG emissions. For age structure,
 461 the working-age population ratio is selected, as changes in the labor force (aged

15 to 60) are most directly linked to economic production. Given that population agglomeration in urban and rural areas may have divergent effects on GHG emissions, in order to avoid potential biases from urban-rural dichotomies, population density is used to represent the spatial distribution of the population.

Among the control variables specified by the IPAT model, per capita consumption expenditure is used to represent affluence, following common practice. Since the focus is on the environmental effects of technology, carbon efficiency (CO₂ emissions per unit of economic output) is employed as a proxy for technological level. Additional control variables include population aging, urbanization, and economic openness. The elderly population (aged 60+) is normally considered lack of productive capacity and exhibits distinct consumption preferences, thereby influencing GHG emissions through both production and consumption channels. Urbanization increases local energy consumption through improved living standards, but may simultaneously enhance resource efficiency via agglomeration, thus exerting a dual effect on emissions. Economic openness is measured by total imports, reflecting the extent to which physical production is outsourced abroad, thereby reducing pollution generated domestically.

Four mechanism variables are selected based on the theoretical hypotheses, with detailed descriptions provided in Table 1.

The data used in this study are drawn from authoritative and reliable sources. GHG emissions and carbon efficiency are obtained from the Emissions Database for Global Atmospheric Research (EDGAR), most population data are sourced from the United Nations World Population Prospects (WPP) 2024. Data on population distribution and urbanization are taken from the United Nations World Urbanization Prospects (WUP) 2018. Economic data involving monetary values primarily come from the World Bank’s World Development Indicators (WDI), with the remaining economic variables sourced from the Global Macro Database (GMD), compiled by research teams at the National University of Singapore and the University of California, Berkeley. EDGAR is an internationally recognized

Table 1: Variable definition & data source

Variable	Symbol	Definition	Source
Greenhouse gas emissions	<i>GHG</i>	Annual total emissions of greenhouse gases	EDGAR
Population scale change	<i>Scl</i>	Annual growth rate of total population	UN WPP
Population age structure	<i>Strc</i>	Share of working-age population in total population	UN WPP
Population spatial distribution	<i>Dstr</i>	Population per square kilometer	UN WUP
Affluence	<i>cons</i>	Annual per capita total consumption expenditure	GMD
Technological level	<i>ci</i>	Carbon efficiency (e.g., GHG emissions per unit of output or energy)	EDGAR
Population aging	<i>old</i>	Share of population aged 65 and above	UN WPP
Urbanization	<i>urbr</i>	Share of population living in urban areas	UN WUP
Economic openness	<i>imp</i>	Total imports	GMD
Urban renewal & construction	<i>Fx_Ivst</i>	Gross fixed assets investment as a percentage of GDP	GMD
Potential pollution transfer	<i>nFDI</i>	Net foreign direct investment	WB WDI
Public service provision	<i>PSP</i>	Government expenditure as a percentage of GDP	GMD
Digitalization	<i>Digit</i>	Internet penetration rate	WB WDI

independent database under the European Commission. The GMD is a unified, open-source dataset that integrates historical and contemporary data from 110 sources, providing annual macroeconomic indicators for 243 countries from early records through projections to 2030 (Müller et al., 2025).

4.3 Descriptive statistics

After merging the datasets, minimal additional processing was conducted. Invalid samples with consecutive years of missing data were removed, resulting in a final dataset comprising complete observations for 196 countries from 1971 to 2023. All continuous variables were transformed using natural logarithms to align with the log-linear model specification. Additionally, Z-score standardization was applied to allow for meaningful comparison of coefficient magnitudes. Descriptive statistics are presented in Table 2.

Table 2: Descriptive statistics

Variable	Obs	Original				Z-Score	
		Mean	SD	Min	Max	Min	Max
<i>GHG</i>	9796	9.785	2.526	1.504	16.585	-3.279	2.692
<i>Scl</i>	9796	1.692	1.980	-71.060	36.090	-36.742	17.372
<i>Strc</i>	9796	-0.519	0.128	-1.792	-0.159	-9.980	2.826
<i>Dstr</i>	9796	4.050	1.572	-2.303	10.013	-4.041	3.792
<i>cons</i>	9796	4.365	0.265	2.179	5.698	-8.260	5.038
<i>ci</i>	9796	-5.131	3.538	-17.404	21.419	-3.469	7.505
<i>old</i>	9796	0.064	0.045	0.000	0.259	-1.404	4.320
<i>urbr</i>	9796	-079	0.595	-3.559	0.156	-4.658	1.591
<i>imp</i>	9796	3.583	0.705	-18.473	6.437	-31.271	4.046
<i>Fx_Ivst</i>	9692	4.808	0.076	4.581	5.552	-2.989	9.789
<i>nFDI</i>	8832	0.544	2.851	-35.933	73.383	-12.793	25.546
<i>PSP</i>	8116	4.830	0.106	4.605	8.144	-2.118	31.224
<i>Digit</i>	5355	1.995	2.605	-10.953	4.605	-4.9699	1.0017

5 Empirical analysis

5.1 Baseline regression

The results of the baseline regression are presented in Table 3. Columns (1) and (2) include only the three explanatory variables of interest, while Columns (3) and (4) incorporate the control variables specified by the STIRPAT model. The final two columns include the full set of control variables. Different combinations of fixed effects are compared to ensure the robustness of the results. The findings indicate that all three population characteristic variables exhibit a significantly positive association with GHG emissions at the 95% confidence level or higher across all specifications. This provides preliminary support for Hypothesis 1, suggesting that contemporary demographic changes, on the whole, exert upward pressure on GHG emissions.

Table 3: Baseline regression

	<i>GHG</i>					
	(1)	(2)	(3)	(4)	(5)	(6)
<i>Scl</i>	0.0123** (0.0059)	0.0125** (0.0059)	0.0083* (0.0043)	0.0086** (0.0042)	0.0087** (0.0040)	0.0093** (0.0042)
<i>Strc</i>	0.0617*** (0.0168)	0.0588*** (0.0168)	0.0404** (0.0170)	0.0385** (0.0170)	0.0390** (0.0167)	0.0409** (0.0177)
<i>Dstr</i>	0.5694*** (0.0548)	0.5487*** (0.0750)	0.5620*** (0.0446)	0.5486*** (0.0654)	0.5291*** (0.0532)	0.5719*** (0.0762)
<i>cons</i>			-0.0355*** (0.0123)	-0.0349*** (0.0123)	-0.0358*** (0.0123)	-0.0345*** (0.0121)
<i>ci</i>			-0.1509*** (0.0540)	-0.1507*** (0.0549)	-0.1453*** (0.0544)	-0.1476*** (0.0559)
<i>old</i>					0.0109 (0.0169)	0.0304 (0.0277)
<i>urbr</i>					0.0246 (0.0231)	0.0323 (0.0256)
<i>imp</i>					0.0054 (0.0037)	0.0054 (0.0038)
Constant	0.0000*** (0.0000)	-0.0119 (0.0228)	0.0000*** (0.0000)	-0.0046 (0.0213)	0.0000*** (0.0000)	0.0346 (0.0330)
Controls	N	N	M	M	Y	Y
Year FE	N	Y	N	Y	N	Y
Country FE	Y	Y	Y	Y	Y	Y
r2	0.6249	0.6279	0.6694	0.6714	0.6718	0.6746
N	9796	9796	9796	9796	9796	9796

Standard errors in parentheses. * $p < 0.1$, ** $p < 0.05$, *** $p < 0.01$.

Y indicates the corresponding factor is included. N denotes exclusion.

M: control variables specified by the STIRPAT model (A , T) only.

5.2 Effect decomposition

5.2.1 Standardized coefficients comparison

Standardized coefficients from the multiple linear regression represent the average marginal effect of each independent variable on the dependent variable, controlling for other factors. Among the three population variables, population density exhibits the largest and most statistically significant standardized coefficient, indicating that, ceteris paribus, it has the strongest explanatory power for variations in GHG emissions. This comparison of standardized coefficients supports the view that population density should be a primary consideration in green governance strategies involving demographic factors.

5.2.2 Shapley decomposition

In a multiple linear regression model, the coefficient of an independent variable reflects its marginal effect on the dependent variable, holding all other factors constant. However, as linear models are susceptible to interference from confounding factors, comparing marginal effects alone may be insufficient for robust inference. Therefore, this study further employs Shapley decomposition—a widely recognized technique for assessing the relative contribution of multiple variables to model performance. Specifically, the Shapley method systematically removes each explanatory variable from the baseline model, records the resulting change in the R^2 , and averages these effects across all possible variable combinations. The resulting R^2 variations reflect each variable’s explanatory power, or relative importance, in the model.

Table 4 presents the results of the Shapley decomposition, where column numbers correspond to those in Table 3. The findings indicate that the spatial distribution of the population is the most influential factor, accounting for over 70% of the explained variance. This result is consistent with the comparison of standardized coefficients.

Table 4: Shapley decomposition result

		Shapley Value			% in P		
		(1)	(3)	(5)	(1)	(3)	(5)
Scl	d_ <i>Scl</i>	0.0033	0.0028	0.0022	0.52	0.49	0.38
Strc	d_ <i>Strc</i>	0.1947	0.163	0.1320	31.15	29.04	22.57
	d_ <i>old</i>			0.0130			2.22
Dstr	d_ <i>Dstr</i>	0.4270	0.4036	0.3099	68.32	70.47	52.99
	d_ <i>urbr</i>			0.1277			21.84
A	d_ <i>cons</i>		0.0226	0.0218			
	d_ <i>imp</i>			0.0033			
T	d_ <i>ci</i>		0.0741	0.0619			
Total		0.06249	0.6694	0.6718	100	100	100

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It is worth noting that the Shapley method does not support factor variables, and thus cannot directly control for individual and year fixed effects. To address this limitation, all variables were demeaned within groups prior to the Shapley

decomposition, removing year fixed effect. While demeaning prevents comparisons across groups, this does not compromise the analysis, as the study focuses on the relative contribution of population-related factors to GHG emissions rather than cross-group differences. Therefore, no valuable information is lost in this process.

5.2.3 FEVD

Next, from a dynamic perspective, this paper conducted a VAR-based Forecast Error Variance Decomposition(FEVD). Both standardized coefficient comparison and Shapley decomposition focus on static evaluation, yet FEVD provides a way to measure each variable's contribution to the deviation of the dependent variable. Similar to a recent research from [Lyubich \(2025\)](#), we set *GHG* as the response variable, and the three components of demographic shift are positioned as impulse variables separately. Table 5 presents the detailed results, which includes 10 future steps of *GHG* and share of corresponding impulses. The results from the FEVD model provided similar conclusion compared with the Shapley method and baseline regression coefficients, spatial distribution remains the prime factor in complex demographic change influencing global GHG emission.

Table 5: FEVD result

Step	2	3	4	5	6	7	8	9	10	Avg.
<i>Scl</i>	7.59	16.89	19.50	22.04	22.94	23.42	23.34	22.99	22.42	18.11
<i>Strc</i>	0.12	0.39	1.78	4.40	7.81	11.87	16.24	20.77	25.29	8.87
<i>Dstr</i>	92.30	82.72	78.73	73.56	69.25	64.71	60.42	56.24	52.28	63.02

5.2.4 Random Forest ranking

Lastly, we conducted an variable importance ranking using Random Forest machine learning algorithm. Random Forest is an ensemble learning method that builds a large number of decision trees and aggregates their predictions to improve model stability and predictive accuracy. Within this framework, variable importance is assessed using the percentage increase in mean squared error (%IncMSE),

567 which captures each variable's marginal contribution by comparing prediction er-
 568 rors before and after permutation. Compared with Shapley decomposition and
 569 traditional variance decomposition, Random Forest does not rely on linear as-
 570 sumptions and can effectively capture nonlinear relationships and interaction ef-
 571 fects among variables. Moreover, while variance decomposition typically requires
 572 the underlying series to be stationary, Random Forest imposes no such constraint,
 573 making it more suitable for empirical settings involving trends or structural shifts.
 574 In our analysis, the importance ranking obtained from Random Forest is consistent
 575 with the results from both Shapley and variance-based approaches, jointly iden-
 576 tifying the spatial distribution of population as the most influential demographic
 determinant of global greenhouse gas emissions.

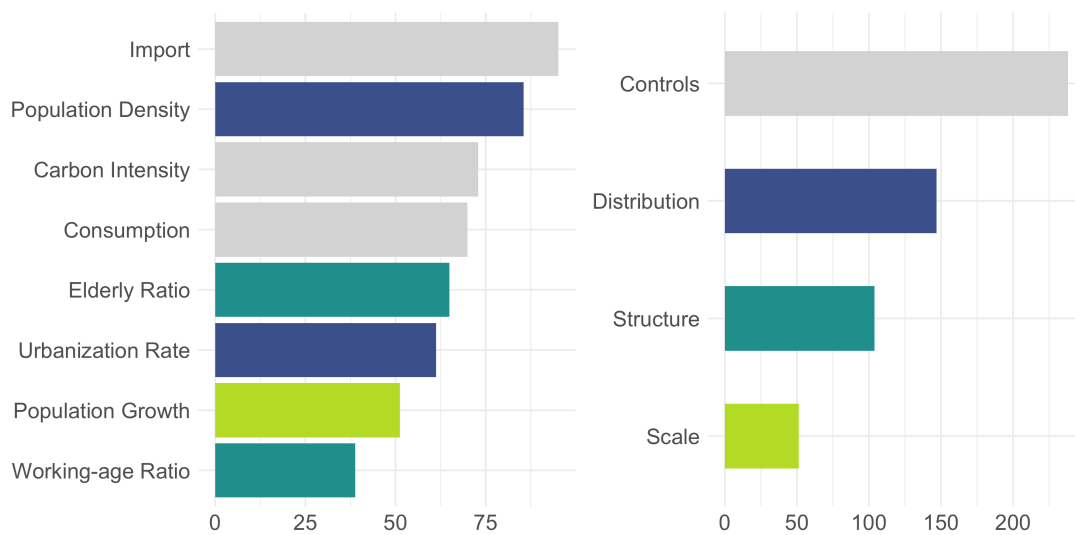


Figure 6: Random Forest variable importance ranking

577

5.3 Robustness tests

5.3.1 Treating extreme samples

580 Significant disparities in development levels and GHG emissions across countries
 581 have long been a defining and inevitable feature of the global landscape. As
 582 a result, datasets covering all available samples may be influenced by extreme
 583 observations, which can lead to overestimation of effects and reduce the represen-

584 tativity of conclusions. To address this issue, all variables were winsorized by
585 replacing the top and bottom 1% of values with the nearest observations. Table
586 6 presents the regression results after winsorization. The three coefficients of in-
587 terest remain significantly positive, suggesting that the baseline results are robust
to the influence of outliers.

Table 6: Robustness: treating extreme samples

	<i>GHG</i>					
	(1)	(2)	(3)	(4)	(5)	(6)
<i>Scl_w</i>	0.0313** (0.0151)	0.0320** (0.0152)	0.0228* (0.0122)	0.0235* (0.0122)	0.0246** (0.0115)	0.0255** (0.0128)
<i>Strc_w</i>	0.0794*** (0.0168)	0.0758*** (0.0181)	0.0542*** (0.0196)	0.0510** (0.0211)	0.0522*** (0.0196)	0.0531** (0.0215)
<i>Dstr_w</i>	0.5446*** (0.0532)	0.5247*** (0.0727)	0.5414*** (0.0453)	0.5222*** (0.0645)	0.5100*** (0.0500)	0.5204*** (0.0765)
Controls	N	N	M	M	Y	Y
Year FE	N	Y	N	Y	N	Y
Country FE	Y	Y	Y	Y	Y	Y
r ²	0.6142	0.6169	0.6522	0.6540	0.6541	0.6558
N	9796	9796	9796	9796	9796	9796

Standard errors in parentheses; * $p < 0.1$, ** $p < 0.05$, *** $p < 0.01$

588

589 5.3.2 Bootstrap estimation

590 The traditional panel OLS method relies on several strong assumptions, which
591 are often violated in empirical research. To mitigate this risk, this study employs
592 300-replication bootstrap tests. The bootstrap approach constructs resampled
593 datasets through repeated random sampling and does not depend on any specific
594 distributional assumptions. As shown in Table 7, the results are consistent with
595 the baseline regression, confirming the robustness of the estimated effects.

Table 7: Robustness: Bootstrap estimation

	<i>GHG</i>					
	(1)	(2)	(3)	(4)	(5)	(6)
<i>Scl</i>	0.0123*** (0.0034)	0.0125*** (0.0034)	0.0083*** (0.0030)	0.0086*** (0.0030)	0.0087*** (0.0030)	0.0093*** (0.0031)
<i>Strc</i>	0.0617*** (0.0042)	0.0588*** (0.0044)	0.0404*** (0.0039)	0.0385*** (0.0040)	0.0390*** (0.0039)	0.0409*** (0.0043)
<i>Dstr</i>	0.5694*** (0.0107)	0.5487*** (0.0142)	0.5620*** (0.0089)	0.5486*** (0.0129)	0.5291*** (0.0109)	0.5719*** (0.0159)
Controls	N	N	M	M	Y	Y
Year FE	N	Y	N	Y	N	Y
Country FE	Y	Y	Y	Y	Y	Y
r2	0.6249	0.6279	0.6694	0.6714	0.6718	0.6746
N	9796	9796	9796	9796	9796	9796

Standard errors in parentheses; * $p < 0.1$, ** $p < 0.05$, *** $p < 0.01$

5.3.3 Mutual effect

Since the empirical model in this paper includes three key explanatory variables simultaneously, significant correlations among them may lead to multicollinearity, which could adversely affect the precision of the estimates and the stability of coefficient interpretation. In addition, if these variables are highly correlated, the effect decomposition results discussed earlier may become ambiguous due to overlapping causal pathways. Therefore, this section constructs a structural equation model and applies dual mediation tests to examine whether the three variables serve as mutual mediators. As shown in Table 12, there is no significant linear mediation effect among the three explanatory variables. This suggests that reciprocal causality remains within an acceptable range, or that such effects do not significantly influence GHG estimation. Overall, we find no evidence of serious multicollinearity in the model.

Table 8: SEM mutual mediation test

X	(M <- X)	(Y <- M <- X)	Z-Value	RIT	Type
M = <i>Scl</i>					
<i>Strc</i>	-0.0856 (7.0281)	-0.008 (0.626)	-0.012	-	No mediation
<i>Dstr</i>	-0.0452 (3.6966)	-0.004 (0.329)	-0.012	-	No mediation
M = <i>Strc</i>					
<i>Scl</i>	-0.0550 (4.6710)	-0.011 (0.932)	-0.012	-	No mediation
<i>Dstr</i>	0.0765 (3.1660)	0.015 (0.632)	0.024	-	No mediation
M = <i>Dstr</i>					
<i>Scl</i>	-0.0087 (4.3763)	0.001 (0.411)	0.002	-	No mediation
<i>Strc</i>	0.2095 (4.3763)	-0.020 (0.530)	-0.037	-	No mediation

5.3.4 Bilateral causality

Strictly speaking, the OLS method identifies correlations rather than causal relationships. Bidirectional causality is one of the main sources of endogeneity. To address this, the temporal order of variables is leveraged. Table 9 presents the results using lagged independent variables: columns 1–3 use one-year lags, while columns 4–6 use two-year lags. The lagged coefficients remain significantly positive, suggesting that the previously estimated effects persist over time. Since the dependent variable cannot influence past values of the independent variables, these findings help to mitigate reverse causality and provide endogeneity-robust evidence for the direction of causality.

5.3.5 Dynamic auto-correlation correction

The GHG emission of an economy is largely influenced by long-term structural factors, including industrial structure, energy structure, and emission habits. Moreover, the urgency of emission reduction is often linked to the GHG stock from previous periods. Therefore, current GHG emissions are likely affected by those

Table 9: Endogeneity treatment: bilateral causality

	<i>GHG</i>					
	(1)	(2)	(3)	(4)	(5)	(6)
<i>L.Scl</i>	0.0146** (0.0061)	0.0108** (0.0045)	0.0112** (0.0045)	0.0160** (0.0063)	0.0123** (0.0048)	0.0127*** (0.0048)
<i>L.Strc</i>	0.0581*** (0.0164)	0.0383** (0.0165)	0.0407** (0.0172)	0.0571*** (0.0158)	0.0381** (0.0160)	0.0406** (0.0166)
<i>L.Dstr</i>	0.5462*** (0.0746)	0.5462*** (0.0646)	0.5595*** (0.0744)	0.5429*** (0.0741)	0.5433*** (0.0639)	0.5466*** (0.0727)
Lag	I	I	I	II	II	II
Controls	N	M	Y	N	M	Y
FES	Y	Y	Y	Y	Y	Y
r2	0.6263	0.6695	0.6726	0.6238	0.6657	0.6690
N	9599	9599	9599	9402	9402	9402

Standard errors in parentheses; * $p < 0.1$, ** $p < 0.05$, *** $p < 0.01$

of previous periods, reflecting dynamic autocorrelation in the model. Such autocorrelation can lead to endogeneity, which requires bias-resistant estimation using flexible instrumental variables via Generalized Method of Moments (GMM). Table 10 presents the relevant test results. The insignificance of the AR(2) statistic suggests that the current IV set is not correlated with the error, satisfying validity. The Hansen overidentification test is also insignificant, supporting the exogeneity of the IV set and the overall model specification. After controlling first-order dynamic autocorrelation, the effects of the three population factors on GHG remain consistent with the baseline regression. Even the relative importance of the variables is consistent, with the spatial distribution of population still being the most influential factor.

Table 10: Endogeneity treatment: dynamic auto-correlation GMM estimation

<i>GHG</i>	Coef.	Std. Err.	z	P> z	[95% conf. interval]	
<i>L.GHG</i>	0.771	0.046	16.58	0.000	0.680	0.862
<i>Scl</i>	0.005	0.001	3.66	0.000	0.002	0.007
<i>Strc</i>	0.017	0.009	1.91	0.057	-0.000	0.034
<i>Dstr</i>	0.142	0.040	3.58	0.000	0.064	0.220
Arellano-Bond test for AR(2) :				P > z = 0.243		
Hansen test of overid. restrictions:				P > chi2 = 0.999		

5.4 Mechanism tests

Based on the theoretical framework, this section conducts a mechanism analysis focusing on investment structure, including urban renewal and construction(Fx_Ivst), international pollution transfer($nFDI$), public service provision(PSP), and digitalization($Digit$). The results are presented in Table 11.

Table 11: Mediation-SEM result

X	(M <- X)	(Y <- M <- X)	Z-Value	RIT	Type
M = Fx_Ivst					
<i>Scl</i>	-0.0211 (0.0112)	-0.001 (0.000)	-1.671	-	Direct-only
<i>Strc</i>	0.0921*** (0.0140)	0.003*** (0.001)	3.500	1.8%	Complementary
<i>Dstr</i>	-0.0946*** (0.0104)	-0.003*** (0.001)	-3.783	3.6%	Complementary
M = $nFDI$					
<i>Scl</i>	0.0496*** (0.0124)	0.008*** (0.002)	3.907	9.9%	Complementary
<i>Strc</i>	0.0641*** (0.0166)	0.010*** (0.003)	3.785	6.4%	Complementary
<i>Dstr</i>	0.0419*** (0.0115)	0.007*** (0.002)	3.564	6.6%	Competitive
M = PSP					
<i>Scl</i>	0.0436** (0.0137)	-0.004** (0.001)	-3.031	4.4%	Competitive
<i>Strc</i>	0.0686*** (0.0174)	-0.006*** (0.002)	-3.691	3.6%	Competitive
<i>Dstr</i>	-0.1595*** (0.0119)	0.015*** (0.002)	8.444	27.2%	Competitive
M = $Digit$					
<i>Scl</i>	0.0821*** (0.0191)	-0.005** (0.001)	-3.387	4.7%	Competitive
<i>Strc</i>	0.4347*** (0.0193)	-0.028*** (0.005)	-5.505	25.6%	Competitive
<i>Dstr</i>	-0.0203 (0.0127)	0.001 (0.001)	1.504	-	Direct-only

Standard errors in parentheses; * $p < 0.1$, ** $p < 0.05$, *** $p < 0.01$

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The results reveal a set of complex and multidimensional mediation pathways. In general, fixed assets investment in urban renewal and construction is positively correlated with GHG emissions, net inflow FDI serves as a carrier of international

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643 emission transfer, which is coherent with the "Pollution Paradise" hypothesis.
644 Public service provision and digitalization mitigate GHG emission via the economy
645 of scale and dematerialization, respectively. In detail, the mediation network is
646 consistent with theoretical derivations:

- 647 1. Population growth significantly increases both public service provision and
648 facilitates internet penetration, which together help offset the GHG emis-
649 sions driven by population expansion.
- 650 2. A higher proportion of the working-age population stimulates production-
651 oriented fixed asset investment, and attracts greater FDI inflows, thereby in-
652 creases GHG emissions. Simultaneously, a larger working population broad-
653 ens the tax base, strengthens the government's environmental governance
654 capacity, and promotes digital transformation, partially mitigating the emis-
655 sion growth.
- 656 3. Increased population density tightens land availability, supresses urban re-
657 newal, it thus limits emissions from construction sector. High density also
658 leads to a more attractive international investment host market, such impe-
659 tus mismatch combined with crowding-out effects, high population dnesity
660 increases GHG emissions from the private sector.

661 These findings not only illustrate the diverse mechanisms through which con-
662 temporary demographic shifts influence GHG emissions, but also yield several key
663 implications. First, investment structure and its externalities are crucial in de-
664 termining environmental outcomes: while production-focused investment tends to
665 raise emissions, spending in areas such as digitalization, elderly care, and green
666 infrastructure tends to reduce them. Second, international investment serves
667 as a channel for both pollution relocation and the cross-border transmission of
668 demographic shocks. Finally, the consistent negative correlation between inter-
669 net penetration and GHG emissions suggests that most economies remain on the

left side of the “digital U-curve,” indicating considerable untapped potential for digitalization-driven emission reductions.

5.5 Heterogeneity test

Population change may have different characteristics depending on a country’s age structure. Countries with different demographic foundations often have distinct economic systems and historical backgrounds, which may lead to heterogeneous effects on GHG emissions. High-income and low-income countries also differ in industrial composition and population dynamics, resulting in varied transmission channels for population impacts. Furthermore, economic inclusiveness affects fertility intentions, labor participation, and population mobility, all of which shape the link between population change and environmental outcomes.

Based on these considerations, this study explores heterogeneity from three perspectives: age structure (measured by median age), income level (GNI per capita), and inclusiveness (gender parity in school enrollment). For each indicator, countries are divided into two groups using the median of standardized values to ensure balanced sample sizes. Coefficient differences between groups are tested. Figure 7 displays the results of the subgroup regressions, detailed analytical statistics are reported in the appendix Table 13.

In Figure 7, the vertical axes stand for the coefficient number, while different colorbar visualizes coefficients from different subgroups, 95% confidential intervals are added.

According to the results of the coefficient difference tests, the impact of population growth on GHG emissions does not show significant heterogeneity across groups. As the core driver of economic production, the relationship between population growth and GHG emissions appears to be universal and consistent.

In contrast, age structure shows notable heterogeneous effects. In countries with a higher median age or higher income levels, an increase in the working-age population tends to raise GHG emissions. However, in countries with a younger

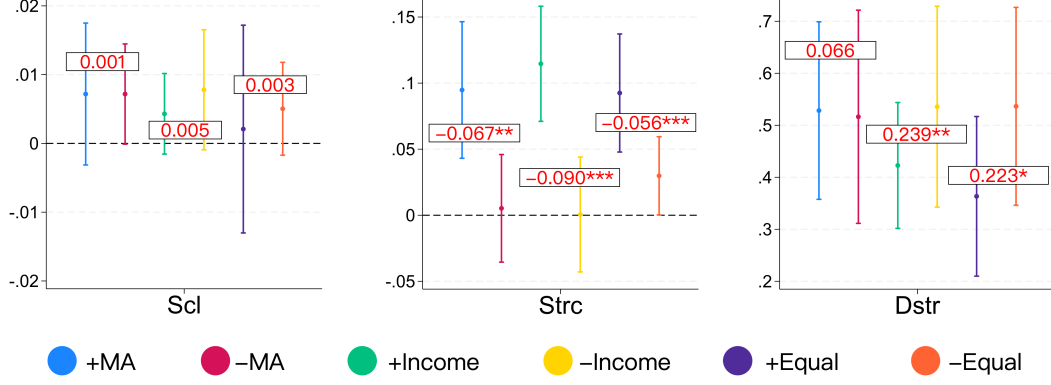


Figure 7: Fisher cross-group coefficient difference test

Number in frames denotes the cross-group difference, * $p < 0.1$, ** $p < 0.05$, *** $p < 0.01$. For color-challenged readers, the legend is in the same order as the figure.

698 population or lower income, no similar evidence is found. This divergence is
 699 largely due to the fact that in more industrialized and economically advanced
 700 countries, people entering the working-age range are more likely to engage in actual
 701 production, thereby generating more emissions. In less developed countries with
 702 weaker industrial bases, labor tends to be absorbed by low-emission traditional
 703 sectors. Additionally, working-age individuals are the primary consumers. In
 704 high-income countries, higher living standards lead to greater indirect emissions,
 705 while in low-income nations, limited consumption results in lower GHG output.
 706 Gender equality also plays a role: in more equal societies, women are more likely to
 707 participate in the labor force, contributing to both economic output and increased
 708 emissions.

709 Spatial concentration of population also produces heterogeneous effects. In
 710 low- and middle-income countries, denser populations are often associated with
 711 higher GHG emissions due to inadequate public infrastructure, weak energy gover-
 712 nance, and inefficient production management. In contrast, high-income countries
 713 may offset such effects through better environmental governance and public ser-
 714 vice provision. Gender equality again exerts influence: in less equal countries,
 715 population clustering is linked to higher emissions, suggesting that gender par-
 716 ity reflects broader aspects of institutional maturity and collective environmental
 717 awareness—factors that are essential for sustainable urban development.

The heterogeneity analysis suggests that differences in population structure, economic development levels, and social inclusiveness significantly shape how demographic changes impact the environment. Therefore, ecological governance policies should be context-specific, taking into account each country's unique conditions in terms of demographic dividends, industrial structure, and governance capacity to formulate more targeted green development strategies.

5.6 Joint effects

Although we have ruled out the possibility of mutual mediation in our robustness tests, we do not rule out the existence of some conditional relationship among the three population variables. For example, population growth can sometimes be viewed as the primary driver of urban expansion (Mahtta et al., 2022). To this end, we constructed a moderation effect model to test for joint significance among the variables. The regression results are presented in Table 12.

Table 12: Joint effect test result

	<i>GHG</i>			
	(1)	(2)	(3)	(4)
<i>Scl#Strc</i>	-0.0079** (0.0036)			-0.0035 (0.0031)
<i>Scl#Dstr</i>		-0.0137*** (0.0049)		-0.0127*** (0.0039)
<i>Strc#Dstr</i>			0.0323*** (0.0105)	0.0315*** (0.0102)
<i>Scl#Strc#Dstr</i>				-0.0011 (0.0030)
<i>Scl</i>	0.0078* (0.0041)	0.0116*** (0.0043)	0.0093** (0.0043)	0.0108*** (0.0038)
<i>Strc</i>	0.0430** (0.0171)	0.0427** (0.0181)	0.0471*** (0.0156)	0.0492*** (0.0148)
<i>Dstr</i>	0.5842*** (0.0755)	0.5915*** (0.0747)	0.5776*** (0.0828)	0.6014*** (0.0798)
Controls	Y	Y	Y	Y
FEs	Y	Y	Y	Y
r ²	0.6762	0.6778	0.6917	0.6949
N	9796	9796	9796	9796

Standard errors in parentheses; * $p < 0.1$, ** $p < 0.05$, *** $p < 0.01$

731 The results reveal an interesting set of moderation effects:

- 732 1. Working-age population negatively moderates the impact of population growth
733 on GHG emissions. This may be because the younger population has stronger
734 green technology absorption capacity and policy responsiveness, higher GHG
735 elasticity mitigates the environmental negative impacts of population growth.
- 736 2. Population density negatively moderates the impact of population growth
737 on GHG emissions. High-density areas typically have more developed infras-
738 tructure, public transportation, centralized heating, and other economies of
739 scale facilities, resulting in lower marginal emissions per additional popu-
740 lation. For example, in densely populated areas, new residents often use
741 subways instead of private cars, live in high-rise buildings or slums instead
742 of dispersed single-family homes, thus have a lower average carbon footprint.
- 743 3. Population density positively moderates the impact of age structure on GHG
744 emissions, as this interaction term implies the high-density agglomeration of
745 working population, which often entails large-scale industrial activities and
746 more severe urban issues.

747 In summary, age structure and distribution moderate the marginal effects of
748 population growth on GHG emissions to some extent. Increased density and
749 optimized labor force structure can help mitigate the emissions pressure caused
750 by population growth. However, when high-density areas concentrate large la-
751 bor populations, emissions may intensify, and structural pollution risks should be
752 monitored.

753 **6 Discussions: Inclusiveness and sustainability**

754 What insights can we gain from this study? The growing and maturing population
755 in modern history has produced a large amount of GHG, with population density
756 playing the most critical role. The expansion of population scale, the increase in

757 the proportion of working population, the advancement of urbanization, and the
758 rapid growth of greenhouse gas emissions together form a complete dynamic land-
759 scape of a developing economy: A person is often born in a rural area or suburb,
760 lack of economic prospects urges them to separate from their families and migrate
761 to cities in search of work when reaching adulthood. Some find employment in
762 office buildings with 24/7 lighting and air conditioning, while others work in fac-
763 tories with round-the-clock shifts. Greenhouse gases are emitted alongside their
764 sweat, and the fact is that they were never given a choice. The midnight streets
765 of Dhaka, Dongguan, Doha, and Bangalore bear witness to their stories.

766 Economic inclusiveness has become a focal point in developed economies, with
767 the fair sharing of development outcomes and equal participation widely recog-
768 nized as critical to enhancing residents' welfare and long-term growth. However,
769 in many developing economies, significant wealth gaps and regional imbalances
770 remain the norm. Following the theoretical tradition of neo-Marxist spatial cri-
771 tique([Buckley, 1967](#)), we conceptualize inclusiveness as a synthesis of “spatial
772 inclusiveness” and “vertical inclusiveness”.

773 **6.1 Spatial inclusiveness**

774 The “center-periphery” regional development pattern was highly conducive to fos-
775 tering spatial growth poles in the early stages, but as the economy enters a con-
776 solidation phase, promoting more balanced regional development takes on new
777 significance in the contemporary era. On the one hand, a more balanced spatial
778 structure helps reduce population density in central metropolises, thereby revers-
779 ing the causal pathway where population density drives GHG emissions. More
780 importantly, regional balance may provide conditions for the restoration of family
781 structures. The multi-center urbanization pattern has fragmented families located
782 in transitional zones, forcing family members to live separately in multiple small,
783 high-energy-consuming living units. This “atomized” family structure and its as-
784 sociation with consumerism have been extensively discussed in broader sociological

785 contexts. Through regional balanced development, providing equal and accessi-
786 ble economic opportunities may alleviate overall GHG emissions by restoring the
787 efficiency of family aggregation.

788 Additionally, the outflow of population from small towns and rural areas to
789 large cities has led to a spatial mismatch between the supply and demand of eco-
790 logical services, reducing the efficiency of ecological service value development and
791 utilization: urban residents must increase energy consumption to offset ecologi-
792 cal deficits, while rural residents' per capita ecological resources remain under-
793 utilized or underdeveloped. Dispersing the population and fostering small and
794 medium-sized towns to a limited extent can promote the coupling of population
795 and ecological carrying capacity, providing conditions for a new type of "ecological
796 urbanization" that organically integrates towns with the natural environment.

797 **6.2 Vertical inclusiveness**

798 The standards for evaluating officials' and governments' performance should not
799 be mechanical GDP growth rates or other economic indicators, but should instead
800 be directly linked to residents' well-being. This may be the key to ending the
801 "necessary evil" of economic inequality in the "post-growth era". Accessibility
802 to ecological services should be considered an important dimension of well-being.
803 Currently, the ecological economics community generally acknowledges that res-
804 idents have the same demand for ecological products and services as they do for
805 other goods and services. However, urban management has yet to systematically
806 incorporate these into the public service framework, failing to provide ecological
807 products or services in the same manner as public services such as affordable hous-
808 ing and social safety nets. We believe this aligns with the goal of equitable sharing
809 of economic benefits. Currently, the wealthy often have more green spaces, bet-
810 ter air quality, and more accessible natural resources, while common high-density
811 residential areas may not provide sufficient green space to meet ecological needs,
812 and slums are even nearly impossible to be associated with ecological services. We

813 propose that, while ensuring basic living conditions, more proactive efforts should
814 be made to provide greening, parks, plastic walking paths, and waste collection
815 services to middle- and low-income communities to achieve equitable access to
816 ecological services.

817 Equal and effective broad social participation is also an important manifes-
818 tation of vertical inclusivity. As mentioned earlier, the elderly typically have a
819 higher carbon footprint, so their attention and participation are crucial compo-
820 nents of the economic green transition. However, in reality, the elderly remain in
821 a passive position in public policy-making, their voices are not heard, and due to
822 low digital literacy, they struggle to form opinions. Therefore, digital inclusion
823 technologies and community work mechanisms should be utilized to assist the el-
824 derly in participating in green policy design and promoting inclusive ecological
825 governance. Similarly, our heterogeneity analysis indicates that income levels and
826 gender equality significantly influence the impact of demographic factors on GHG
827 emissions. Thus, traditional vulnerable groups such as low-income individuals
828 and women must be granted equal influence in the formulation of green transition
829 schemes.

830 More specific research and arguments will be conducted in our future work.

831 **7 Conclusions & Policy implications**

832 **7.1 Research conclusions**

833 To enhance theoretical understanding of modern population dynamics, this paper
834 investigates the changes in three key population characteristics—scale, structure,
835 and distribution—based on panel data from 196 countries between 1971 and 2023.
836 It examines their impacts on global GHG emissions. Using Shapley decomposi-
837 tion, FEVD and Random Forest ranking, it evaluates the relative importance of
838 each population factor, and employs I-BK SEM to reveal the complex mechanisms
839 through which demographic changes influence GHG emissions, as well as their dif-

840 ferentiated effects across countries with diverse demographic profiles. These find-
841 ings offer practical policy implications for achieving green development through
842 targeted population governance.

843 Globally, population characteristics have undergone profound transformations
844 in the modern era. The total population has nearly doubled since the 1970s. The
845 share of the working-age population generally increased alongside total population
846 growth, but began to slow significantly after the 2010s, lagging behind total popu-
847 lation growth and signaling the onset of notable population aging. Meanwhile, the
848 upper bound of the median age has approached 50 years, while the lower bound
849 has remained relatively stable, reflecting stark global disparities in human devel-
850 opment. Urbanization has progressed rapidly, surpassing 50% of the world's total
851 population by the early 21st century, which means that the majority now residing
852 in urban areas.

853 These demographic shifts have generally contributed to increased GHG emis-
854 sions. Controlling for other factors, rising population density is found to be the
855 most consistent driver of increased emissions, as confirmed by a series of robust-
856 ness checks. Investment structure is a criteria mechanism: fixed asset investment
857 in urban expansion and renewal tends to increase emissions; international invest-
858 ment flows are frequently associated with pollution transfer; public service provi-
859 sion contributes positively by managing environmental externalities; and digital
860 investment, at the current stage, can effectively reduce overall emissions. Hetero-
861 geneity analysis reveals several notable findings: demographic changes in mature
862 economies—with higher median ages and per capita income—are more likely to
863 result in increased emissions, which is linked to the level of industrialization. Gen-
864 der equality affects emissions by influencing labor force participation. Moreover,
865 the impact of population agglomeration on GHG emissions depends on the quality
866 of agglomeration, with low-quality clustering (e.g., low income, high inequality)
867 more likely to exacerbate emissions. Mild mutual moderations exist between de-
868 mographic variables, making the interaction effect more complex. Lastly, spatial

869 and vertical inclusiveness also have their role in green transition and sustainable
870 development.

871 **7.2 Policy implications**

872 Achieving harmony between humanity and nature is a prerequisite for sustainable
873 development and inclusive growth. This requires greater attention to the interplay
874 between demographic characteristics and environmental quality. Based on the
875 findings of this study, several policy recommendations are proposed:

- 876 1. Given the widespread challenges of population governance, population den-
877 sity is a relatively feasible and effective policy target. Promoting healthy
878 declines in population density through more balanced regional development
879 while maintaining quality of life, plays an often-overlooked but important
880 role in enabling green transition.
- 881 2. The structure of investment should be guided toward low-carbon and digi-
882 tal sectors. Resources should be directed toward digital infrastructure, re-
883 newable energy, and smart manufacturing to reduce reliance on traditional
884 emission-intensive investments. In particular, digital technologies should be
885 further applied to improve energy efficiency and pollution monitoring.
- 886 3. Environmental regulation of international investment should be strength-
887 ened. A coordinated system of cross-border environmental standards should
888 be established to prevent pollution “leakage” through international invest-
889 ment. Stricter environmental assessments should be applied to foreign in-
890 vestments. Moreover, upstream and downstream cooperation within global
891 value chains should be enhanced to ensure that green technologies and gov-
892 ernance resources are transferred alongside capital flows, with environmental
893 externalities priced into investment decisions.
- 894 4. The environmental effectiveness of public services should be improved. Pub-
895 lic expenditures should prioritize areas with strong positive externalities—

896 such as clean energy, public transportation, and ecological restoration—to
897 drive emissions reductions of the entire economy. At the same time, ESG
898 ratings should be widely promoted to encourage businesses to engage in
899 similar externality governance.

900 5. Attention should be paid to the quality of population agglomeration. Eco-
901 logical welfare is closely linked with other welfares. Policymakers should
902 also address income inequality and gender disparities to improve the quality
903 of demographic clustering and its environmental outcomes.

904 **7.3 Limitations**

905 Aiming to provide more precise knowledge about modern demographic shift and
906 its relationship with global green transition, this paper proposes three represen-
907 tative population characteristics, namely scale, age structure, and spatial distri-
908 bution. However, the complex demographic shift contains other less discussed
909 but equally important factors. Also, to support quantitative research, this paper
910 picks population growth rate, working population ratio, and population density
911 to reflect changes of population. Future researches can apply more accurate and
912 comprehensive indicators to capture wider demographic factors.

913 Appendix

914 For the readers's convenience, the result table for the heterogeneity test was pro-
 915 vided below. All statistics are consistent with the visualized edition as shown in
 916 Figure 7.

Table 13: Heterogeneity test result

	<i>GHG</i>					
	+MA	-MA	+Income	-Income	+Equality	-Equality
<i>Scl</i>	0.0072 (0.0052)	0.0072* (0.0037)	0.0043 (0.0030)	0.0078* (0.0044)	0.0021 (0.0076)	0.0050 (0.0034)
<i>Strc</i>	0.0948*** (0.0261)	0.0052 (0.0206)	0.1146*** (0.0220)	0.0006 (0.0220)	0.0925*** (0.0226)	0.0298** (0.0150)
<i>Dstr</i>	0.5283*** (0.0862)	0.5164*** (0.1035)	0.4228*** (0.0611)	0.5358*** (0.0975)	0.3634*** (0.0776)	0.5365*** (0.0963)
	Fisher cross-group difference test					
<i>Scl</i>	0.001		0.005		0.003	
<i>Strc</i>	-0.067**		-0.090***		-0.059**	
<i>Dstr</i>	0.066		0.239**		0.223*	
Controls	Y	Y	Y	Y	Y	Y
Country FE	Y	Y	Y	Y	Y	Y
r ²	0.5815	0.7349	0.6177	0.7429	0.6629	0.7602
N	4782	4860	4413	4431	2794	2822

Standard errors in parentheses. * $p < 0.1$, ** $p < 0.05$, *** $p < 0.01$.

The + and – before each grouping criterion indicate values above or below the median for that year, respectively.

MA refers to median age; Income refers to GNI per capita; Equality represents gender equality measured by the ratio of school enrollment between boys and girls.

917 **CRedit authorship contribution statement**

918 **Lei Li:** Conceptualization, Methodology, Formal analysis, Writing-Original Draft,
919 Visualization. **Yinfeng Chen:** Writing-Review and Editing, Methodology, Data
920 curation.

921 **Declaration of interest statement**

922 The authors declare that they have no known competing financial interests or
923 personal relationships that could have appeared to influence the work reported in
924 this paper.

925 **Declaration of generative AI and AI-assisted technologies in the writing**
926 **process**

927 During the preparation of this work the authors used ChatGPT in order to pol-
928 ish language. After using this tool/service, the authors reviewed and edited the
929 content as needed and take full responsibility for the content of the publication.

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931 Data available from the authors upon request.

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